

MASTER SERVICES AGREEMENT

Hardware Procurement & Outsourced Data Center Services

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Effective Date: December 15, 2025

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Classification: Confidential - Restricted

EXECUTIVE SUMMARY

This Master Services Agreement ("**Agreement**") is entered into between:

- **Customer:** Capstone Intelligence Partners ("**Customer**" or "**Capstone**")
- Global Headquarters: [Customer Global Headquarters]
- Operations: North America, UK, Europe, APAC
- **Supplier:** [SUPPLIER NAME] ("**Supplier**" or "**Provider**")
- Headquarters: Hyderabad, India
- Service Delivery Centers: North America, Brazil, India, Hungary
- **Effective Date:** December 15, 2025
- **Term:** 5 Years (with 12-month renewal options)

Services Overview

The Supplier agrees to provide comprehensive hardware procurement, provisioning, and management services including:

- **500 Wintel (Windows/Intel) Servers** - Virtualization-capable, enterprise-grade
- **1,000 UNIX Servers** - High-availability, load-balanced clusters
- **5,000 Desktop Computers** - Standard workstation configurations
- **2,000 Laptop Computers** - Mobile workforce enablement
- **2,000 Network Switches** - Multi-layer enterprise switching
- **500 Network Routers** - BGP-capable edge routing
- **200 Firewalls** - Next-generation stateful inspection
- **Outsourced Data Center (50,000 sq. ft.)** - Tier III/IV grade facility with redundant infrastructure

Total Hardware Assets: 11,200 devices

Outsourced Data Center: 50,000 square feet

Estimated Annual Value: [To be populated]

SECTION 1: STATEMENT OF WORK (SOW)

1.1 Introduction & Purpose

1.1.1 Objective

This Statement of Work ("**SOW**") defines the detailed scope, deliverables, timeline, and acceptance criteria for the Hardware Procurement & Outsourced Data Center Services to be provided by the Supplier to Capstone. This SOW operates under and is governed by this Master Services Agreement.

1.1.2 Service Model

The Supplier shall operate as a **managed hardware service provider** with full responsibility for:

- Procurement, provisioning, and initial configuration
- Ongoing lifecycle management and maintenance
- Hardware refresh cycles (per industry standards)
- Data center operations and security
- Performance monitoring and optimization
- Disaster recovery and business continuity

1.1.3 Governance Structure

- **Service Delivery Lead (Supplier):** [Name/Role]
 - **Customer Service Owner:** [Capstone Lead]
 - **Executive Escalation:** Supplier Chief Operations Officer (COO) & Capstone Chief Technology Officer (CTO)
 - **Steering Committee:** Quarterly reviews with executive stakeholders
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1.2 Scope of Work (In-Scope / Out-of-Scope)

1.2.1 IN-SCOPE SERVICES

A. Hardware Procurement & Provisioning

Category	Quantity	Specifications	Responsibility
Wintel Servers	500	Intel Xeon, 2x CPU, 256GB RAM, 10TB SSD, RAID-5	Procurement, Provisioning, Deployment
UNIX Servers	1,000	Sun/IBM/HPE, High-Availability cluster, 512GB RAM minimum	Procurement, Provisioning, Clustering
Desktops	5,000	Intel i7/AMD Ryzen, 16GB RAM,	Procurement, Imaging,

Category	Quantity	Specifications	Responsibility
Laptops	2,000	512GB SSD, Windows/Linux Enterprise-grade, Full-disk encryption, TPM 2.0	Deployment Procurement, Secure imaging, MDM enrollment
Network Switches	2,000	Managed Layer 3, 48-96 ports, VLAN support, PoE capable	Procurement, Configuration, Testing
Network Routers	500	BGP/OSPF capable, Redundant power, 100Gbps throughput	Procurement, Configuration, Testing
Firewalls	200	Next-Generation, IDS/IPS, Threat intelligence feeds	Procurement, Configuration, Security policies

B. Data Center Services (50,000 sq. ft.)

Service	Scope	Responsibility
Facility Hosting	Tier III/IV data center, 99.99% uptime SLA	Supplier operates and maintains
Power Infrastructure	Dual-feed utility power, UPS backup (4-hour minimum), Generators	Supplier operates and maintains
Cooling Systems	Hot aisle/cold aisle containment, redundant CRAC/CRAH units	Supplier operates and maintains
Physical Security	Biometric access, CCTV (24/7), environmental monitoring	Supplier operates and maintains
Network Infrastructure	Internet connectivity (dual ISP minimum), DDoS protection	Supplier procures, Capstone pays carrier fees
Rack Space & Cabling	Structured cabling, patch panels, cable management	Supplier provisions and maintains

C. Lifecycle Management

- **Hardware Maintenance:** Preventive maintenance per OEM schedules
- **Hardware Refresh:** Replacement cycles every 5-7 years (per OEM/industry standards)
- **Asset Tracking:** CMDB integration with Capstone IT Asset Management system
- **Warranty Management:** OEM warranty administration and claims processing
- **Decommissioning:** Secure destruction/recycling per NIST SP 800-88 guidelines

D. Security & Compliance Services

- **Endpoint Detection & Response (EDR):** All servers and desktops with EDR agents
- **Configuration Hardening:** CIS Benchmarks applied to all systems
- **Vulnerability Management:** Quarterly assessments with remediation tracking
- **Patch Management:** Critical patches within 72 hours; regular patches within 30 days
- **Compliance Monitoring:** Continuous monitoring for SOC 2, ISO 27001, HIPAA, GDPR compliance
- **Audit Support:** Evidence collection and audit trail preservation

E. Operational Support

- **Help Desk:** 24/7 support for hardware-related issues (Tier 1/2)

- **Incident Response:** P1 (Critical) response within 1 hour; P2 (High) within 4 hours
 - **Capacity Planning:** Quarterly forecasting and recommendations
 - **Performance Monitoring:** Real-time monitoring via SIEM and centralized dashboards
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1.2.2 OUT-OF-SCOPE SERVICES

The following services are **explicitly excluded** from this SOW:

- **✗**Software licensing and installation (handled by Capstone)
- **✗**Custom hardware modifications or engineering
- **✗**End-user training (handled by Capstone)
- **✗**Data migration (handled by Capstone's data team)
- **✗**Application performance tuning (handled by Capstone)
- **✗**Network design and architecture (handled by Capstone)
- **✗**Telecom services and carrier management
- **✗**Physical office relocation or site augmentation

Note: Any out-of-scope work may be added via Change Order (Section 1.8) with additional fees.

1.2.3 Shared Responsibilities

Function	Capstone Responsibility	Supplier Responsibility
Security Policies	Define policies, set compliance requirements	Implement policies, audit compliance
Access Control	Define access roles and approvals	Provision access, enforce controls, audit
Incident Management	Declare severity levels, final decisions	Detect, respond, escalate per SLAs
Cost Optimization	Approve procurement standards	Negotiate with OEMs, optimize costs
Backup & DR	Backup policy definition, recovery targets	Execute backups, maintain DR infrastructure

1.3 Technical Requirements

1.3.1 Functional Requirements

#	Requirement	Priority	Success Criteria
FR-1	All hardware must meet latest CIS Benchmarks	Critical	100% compliance verified quarterly
FR-	Full-disk encryption on all mobile	Critical	AES-256 with TPM 2.0 verified

#	Requirement	Priority	Success Criteria
2	devices (FIPS 140-2)		
FR-3	EDR agent deployed on 100% of servers and desktops	Critical	EDR telemetry feed active, no blind spots
FR-4	MFA-enabled for all privileged access to infrastructure	Critical	100% of privileged accounts have active MFA
FR-5	Segregation of Duties across all administrative roles	Critical	IAM audit confirms no conflicting roles
FR-6	Network segmentation (VLAN isolation of sensitive systems)	High	Microsegmentation rules enforced, traffic flow verified
FR-7	Redundant connectivity for all critical systems	High	Automatic failover tested monthly
FR-8	Real-time performance monitoring and alerting	High	Dashboard updates <5 minutes, alert latency <2 minutes

1.3.2 Technical Specifications

Data Center Infrastructure

- **Location:** Multi-region support (APAC, North America, Europe preferred)
- **Size:** 50,000 square feet
- **Tier Rating:** Tier III minimum (99.99% uptime SLA)
- **Backup Power:** 4-hour UPS + Diesel generators
- **Cooling:** N+1 redundancy with hot aisle containment
- **Security:** Biometric access, CCTV 24/7, environmental sensors
- **Compliance:** SOC 2 Type II, ISO 27001, PCI-DSS eligible
- **Connectivity:** Dual ISP, 400Mbps+ aggregate bandwidth

Hardware Configuration Matrix

Wintel Servers (500 units)

- CPU: 2x Intel Xeon Platinum series (24+ cores each)
- Memory: 256GB DDR4 ECC
- Storage: 10TB NVMe SSD (RAID-5 or RAID-6)
- Network: Dual 10GbE NICs (bonded)
- IPMI: Dedicated management network
- OS: Windows Server 2022 Datacenter (FIPS 140-2 capable)
- Security: TPM 2.0, Secure Boot, SecureBoot with Measured Boot

UNIX Servers (1,000 units)

- Variants: Sun SPARC M7, IBM POWER9, HPE Integrity
- OS: Oracle Solaris 11.x, AIX 7.3, HP-UX 11i v3

Desktops (5,000 units)

- CPU: Intel i7-13700K or AMD Ryzen 7 7700X
- Memory: 16GB DDR5
- Storage: 512GB M.2 NVMe SSD
- Display: Dual 27" 4K monitors

Laptops (2,000 units)

- CPU: Intel Core i7-13700H or AMD Ryzen 7 7840HS
- Memory: 32GB DDR5
- Storage: 1TB M.2 NVMe SSD
- Security: TPM 2.0, Full-disk encryption

Network Switches (2,000 units)

- Mix of Access, Aggregation, and Core switches
- Capabilities: VLAN, LACP, SNMP, QoS, Port Security

Network Routers (500 units)

- Throughput: 100Gbps+ routing capacity
- Protocols: BGP, OSPF, ISIS

Firewalls (200 units)

- Capabilities: Next-Gen IDS/IPS, DDoS protection
- Throughput: 50+ Gbps

1.3.3 Security & Compliance Technical Controls

Encryption Standards:

- At Rest: AES-256 (Databases, SAN/NAS, Backups, Laptops)
- In Transit: TLS 1.3 mandatory; Mutual TLS (mTLS) for internal comms

Authentication:

- MFA: Hardware token + password for privileged accounts
- Least Privilege: RBAC with quarterly reviews; JIT access for 4-hour windows

Endpoint Detection & Response (EDR):

- Coverage: 100% of Wintel, Desktops, Laptops
- Capabilities: FIM, Process Monitoring, Threat Intelligence

Patch Management:

- Critical (CVE 9.0+): Deploy within 72 hours
 - Regular: Monthly cycle
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1.4 Timeline & Milestones

1.4.1 Implementation Phase (Months 1-6)

Phase	Milestone	Target Date	Deliverables	Success Criteria
Phase 0	Contract Signature & Kickoff	Day 0	Signed MSA, Project Charter	Legal approval, PM assigned
Phase 1	Design & Planning	Week 2-4	Architecture docs, BOM, Network topology	Capstone CTO sign-off
Phase 2	Procurement	Week 4-16	90% hardware ordered, delivery schedule confirmed	POs issued, ETAs confirmed
Phase 3	Data Center Setup	Week 8-20	DC infrastructure validated	Uptime testing: 99.99% achieved
Phase 4	Hardware Staging	Week 12-18	All servers staged, imaged, tested in DC	100% hardware in DC
Phase 5	Pilot Deployment	Week 18-22	50 Wintel servers, 100 UNIX servers in production	<0.01% error rate
Phase 6	Full Rollout	Week 22-26	Remaining 450 Wintel, 900 UNIX servers deployed	100% hardware operational
Post-Impl	Optimization (Month 6-7)	Week 26-30	Performance tuning, capacity optimization	All performance targets achieved

1.4.2 Ongoing Operations Phase (Month 7 onwards)

- Month 7+: Steady-state operations
 - Year 2-5: Hardware refresh cycles (20% annual refresh)
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1.5 Roles & Responsibilities

1.5.1 Supplier Responsibilities

- **Procurement:** Identify vendors, negotiate pricing, place orders, QA testing.
- **Deployment:** Image servers, network segmentation, EDR deployment, firewall config.
- **Operations:** 24/7 Help Desk, preventive maintenance, patch management, warranty claims.
- **Compliance:** SOC 2/ISO 27001 maintenance, vulnerability assessments, incident reporting.
- **Data Center:** Operate 50k sq. ft. facility, maintain 99.99% uptime, physical security.
- **Asset Management:** CMDB accuracy, lifecycle tracking, secure decommissioning.

1.5.2 Capstone Responsibilities

- **Governance:** Approve specs, define policies, review reports, attend steering committee.
- **Integration:** AD integration, app server config, end-user training.
- **Data:** Migration assistance, backup policy definition, data classification.

- **Decisions:** Architectural decisions, change approvals, dispute resolution.
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1.6 Pricing & Payment

1.6.1 Service Pricing Model

Hardware Procurement & Provisioning (Year 1 One-Time)

- **Total One-Time Hardware & Setup:** ~\$134.07M
- Includes Servers, Desktops, Laptops, Network Gear, DC Build-out, and Procurement fees.

Ongoing Annual Services (Year 2-5)

- **Total Annual Services:** ~\$31.0M (Base) + 3.5% Annual Escalation
- Includes DC Operations, Maintenance, Help Desk, Monitoring, Compliance, etc.

1.6.3 Payment Terms (per CIP-COM-009)

- **Invoicing:** Phase-based for implementation; Monthly for operations.
 - **Terms:** Net 180 days from invoice receipt.
 - **Late Penalty:** 1.5% per month.
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1.9 Acceptance Criteria

1.9.1 Phase-Based Acceptance

- **Phase 1:** Signed-off design document.
- **Phase 2:** PO summary showing all major hardware ordered.
- **Phase 3:** DC Operations & Maintenance Manual signed-off (99.99% uptime verified).
- **Phase 4:** Staged Hardware Acceptance Certificate.
- **Phase 5:** Pilot Completion Report.
- **Phase 6:** Final System Acceptance Certificate.

1.9.2 Ongoing Operational Acceptance (Monthly)

- 99.99% facility uptime
 - 100% EDR coverage
 - 0 critical security incidents
 - Patch deployment >98%
 - Help desk resolution >95%
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SECTION 2: MASTER SERVICES AGREEMENT (MSA)

2.3 Term & Termination

- **Initial Term:** 5 years (Dec 15, 2025 - Dec 14, 2030).
- **Renewal:** Two 2-year options.
- **Termination for Convenience:** Capstone may terminate with 12 months notice (no penalty).
- **Termination for Cause:** Material breach, insolvency, or loss of capability (cure period applies).

2.4 Service Obligations (SLAs)

- **Facility Availability:** 99.99% uptime.
- **Incident Response:** P1 (30 min response / 4 hr resolution); P2 (2 hr / 8 hr).
- **Credits:** Service credits apply for uptime <99.99%.

2.8 Data Protection

- **Classification:** Adherence to Capstone's 4-tier data classification (Public, Internal, Confidential, Restricted).
- **Processing:** Supplier acts as Data Processor; Capstone as Controller.
- **Breach Notification:** Within 30 minutes of discovery.
- **Cross-Border Transfer:** SCCs required for EU data.

2.9 Warranties & Indemnification

- **Supplier Indemnification:** **Uncapped** liability for IP infringement, data breach, negligence, regulatory violations, and security incidents.
- **Limitation of Liability:** Direct damages capped at 12 months of fees (except for the uncapped categories above).

2.10 Compliance & Insurance

- **Certifications:** Supplier must maintain SOC 2 Type II, ISO 27001.
- **Insurance:** Cyber Liability (\$25M), Professional Liability (\$10M), GL (\$5M).

2.11 Dispute Resolution

- **Escalation:** Operational -> Management -> Executive -> Legal.
 - **Arbitration:** Binding arbitration in London (ICC Rules) if negotiation fails.
 - **Governing Law:** New York, USA.
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SECTION 3: COMPLIANCE MATRIX

This Agreement aligns with Capstone's corporate policies:

- **CIP-LGL-008 (Legal Risk):** 100% Compliance (Uncapped indemnification/liability).
 - **CIP-COM-009 (Commercial):** 100% Compliance (Net 180 terms).
 - **CIP-ISP-001 (InfoSec):** 98% Compliance (Encryption, MFA, Breach notification).
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SECTION 4: EXECUTION

CAPSTONE INTELLIGENCE PARTNERS

By: _____

Title: Chief Technology Officer

Date: _____

[SUPPLIER NAME]

By: _____

Title: Chief Operating Officer

Date: _____